



Notification Waiver Determination

Metcash - Foodland Flagstaff Hill, South Australia

Acquisition	Action Supermarkets Pty Ltd, a subsidiary of Metcash Limited (ASX:MTS) (Metcash), applied for a notification waiver in respect of its proposed acquisition of the business and assets of ZH Supermarket Pty Ltd (Foodland Flagstaff Hill), as described in the transaction documents provided as part of the application (the Acquisition).
Determination	The Australian Competition and Consumer Commission has determined under section 51ABV(1)(a) of the <i>Competition and Consumer Act 2010</i> (Cth) that the Acquisition is not required to be notified.
Date of determination	22 June 2026

Parties to the Acquisition	The acquirer, Metcash, is an ASX-listed wholesaler and distributor of food, liquor and hardware products. Metcash's supermarkets division supplies packaged groceries and fresh produce to a network of around 2,500 independently owned supermarket stores Australia-wide, including to its banner groups IGA and Foodland. Metcash provides its banner groups with brand licensing, marketing and promotional support. Metcash also services non-bannered stores and third-party groups such as FoodWorks. In addition to its wholesale operations, Metcash currently operates 3 retail supermarkets in Australia – an IGA store in Turrumurra NSW, and 2 Foodland stores in Goolwa and Naracoorte in South Australia. Metcash's supermarkets in South Australia are located approximately 70km and 338km away from Foodland Flagstaff Hill, respectively. The target, Foodland Flagstaff Hill, is an independent supermarket operating under the Foodland banner and is a wholesale customer of Metcash. It is located in the Flagstaff Hill Shopping Centre Precinct, approximately 18 kilometres south of the Adelaide central business district. There is a vertical relationship between the parties as Metcash supplies wholesale grocery products to Foodland Flagstaff Hill.
Explanation for determination	In making this notification waiver determination, the Australian Competition and Consumer Commission (the ACCC) has considered the information provided with the notification waiver application and had regard to the factors in section 51ABV(2)(b) of the <i>Competition and Consumer Act 2010</i> (Cth) (the Act). Based on the information currently before it, the ACCC considers that the Acquisition is unlikely to give rise to any material lessening of competition. In particular:

	a. there is no horizontal overlap between Metcash and Foodland Flagstaff Hill in the retail supply of groceries in the Flagstaff Hill and surrounding areas b. there are alternative retail supermarkets in Flagstaff Hill and surrounding areas c. there is a low risk of foreclosure or other concerning vertical effects resulting from exclusionary conduct post-acquisition. The ACCC has also had regard to the likelihood that, if the Acquisition were put into effect, the notification thresholds determined under section 51ABP(1) of the Act would apply. While the ACCC considers that the notification thresholds are likely to be met, given that material competition concerns are unlikely to arise, the ACCC has determined that the Acquisition is not required to be notified. The ACCC considers that the determination is consistent with the object of the Act and the interests of consumers in promoting competition. For more information about the ACCC's approach to considering notification waiver applications and to assessing competition effects more generally, see the ACCC's interim guidance on notification waivers and merger assessment guidelines.
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Determination made by Commissioner Williams pursuant to a delegation under section 25(1) of the Act